

This means that they will assume a rate of inflation and raise the cost of that goal, so you know approximately how much you will need in the future. Some calculators do more. They will also ask you to assume a certain rate of return, what you think you can earn on investments, and then come back and tell you what you need to save each year and month now to get to that goal. We'll discuss rates of return, inflation and products in the next few chapters.

This book is not about helping you with fixing exact numbers but about thinking about what products work in each of these boxes. Think of financial products like certain kinds of food. Take sugar – if taken in reasonable quantities, sugar-filled foods are fine for a person who is healthy, but is poison for a diabetic. Or take salt – works just fine for most people; but have hypertension, and salt is gun-powder. Financial products are similar. Not everything suits everybody – *we need to match our financial needs to financial products*.

Hmmm, you say: This looks like the end of this book. No way we can match six billion people to products in a book. Luckily, there is a way to work this out. We match products to your holding period. Or look at it this way: Each financial product has a certain time period over which it works best. A product that is very safe in the long run becomes very risky in the short term. And a product that works in the short term becomes a drag on returns if you hold it too long. When you now think of a financial product, learn to ask the question: Over what holding time period does this work the best?

Before we start talking about products to put into the cells, we need to understand what is out there. You know the pitches from insurance companies and mutual funds; you know the doubling-money stories from people who bought the right share at the right time. You hear with envy the stories of Rs 5 lakhs becoming 5 crores through property. But you never seem to buy the right product. Everybody says this: I am the unluckiest person ever born. I just have to invest in the market, and it crashes.

Listen to this. Even if you were the unluckiest investor in the world and bought into the market on the worst day possible, there is a way in which you can still win. But to get to that point, we need a short ride in the 'Asset Car'. More about that in the next chapter.